The experience of the crisis from around the world, and our own experience too, showed that coordination could be managed without compromising regulatory autonomy. Merely synchronizing policy announcements for exploiting the synergistic impact need not necessarily imply that regulators were being forced into actions that they did not own.

Regarding the criticism on the timing, the decision to release the statement during market hours was deliberate. It is true that the standard practice of the Reserve Bank is to release unscheduled policy announcements after market hours to prevent any knee-jerk reactions. There have been exceptions to this general rule but the effort generally is to minimize such exceptions. In this instance, we decided to deviate from the standard practice to time the announcement with the prime minister's Lok Sabha statement. In the event, I believe, the synchronization had a greater impact than if we had announced the measures at the close of business the previous evening.

Spring Shoots

By the time of the London G20 meeting in April 2009, there was much talk of spring shoots in the advanced world and credible recovery in emerging markets, and a growing view that maybe, with concerted and coordinated action, governments and central banks had managed to extinguish the embers sooner than we had originally thought. Alas, that turned out to be a false hope as the global financial crisis morphed into the eurozone sovereign debt crisis that would continue to agitate the global economy and financial markets for several years thereafter.

At home in India though, attention started turning to exit policies and strategies. However, given that the eurozone crisis was in full bloom, we could not take crisis management off our radar and out of our mind space.

At a personal level, the turning point in the crisis was also a turning point in my motive force, as a fear of failure had given way to a desire for success.